

THE CAST AND CREW

ALAN GREENSPAN Only a couple of years ago the former chairman (1987-2006) of the US Federal Reserve steered the US economy through the 1987 stockmarket collapse to the aftermath of 9/11. He is now seen as one of those who allowed the housing bubble to grow.



BEN S. BERNANKE The US Fed Chairman is acknowledged as an expert on the Great Depression of 1929 and some believe he almost led the US economy into one.



WARREN BUFFETT He made a \$5-billion investment in Goldman Sachs, sending a message to the market to not shun every financial company at this point.



RICHARD FULD The Lehman Brothers CEO encouraged risk-taking and Lehman was still investing heavily in property at the top of the market when the collapse happened. He



blamed short-sellers and wondered why the US government had not saved the bank.

PRANAB MUKHERJEE The Indian finance minister came in for praise and flak for the stimulus packages and not-so-adequate recovery plan. He has been criticised for not taking bold action and instead falling behind other countries which doled out more generously.



However, emerging markets on the path of liberalisation and privatisation were somewhat baffled by the creeping nationalisation in developed economies.

While the decade began with emerging markets questioning the role of the International Monetary Fund (IMF), the global recession somewhat rejuvenated its role. After the G20 countries bolstered its resources and supported the new special drawing rights allocation, the IMF came to the rescue of several countries, especially those in Central and Eastern Europe. It offered greater loan disbursements and less stringent loan conditions. Via the flexible credit line, it also offered liquidity facility

as the world's consumer. This strengthened the global supply chain with growing trade between developing countries in commodities, intermediate and capital goods to produce final goods destined for the US and EU. The export-led growth model helped several developing countries attain higher economic growth, reduce poverty and improve the standard of living. However, it also led to unsustainable and unbalanced growth on both sides of the Pacific. As US consumers increase savings over the next few years, the pattern and pace of global trade flows will slow. Eventually, growing incomes and domestic demand will boost trade among emerging markets that will



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AS THE ECONOMIC PEARL HARBOUR PANNED, INDIAN COMPANIES AND THEIR WORKERS FELT THE HEAT

THERE WERE ECONOMISTS who believed that the slow-down would not last long enough to deserve the label 'recession'.

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without any conditions to emerging markets that had sound fundamentals.

The recession also strengthened the view that policymakers should maintain regulatory and prudential measures during the good times and prick asset bubbles than limiting their role to cleaning up after the bubbles burst. The revival of capital flows and speculative activity since March 2009 and the responses of emerging markets, like the Asian Tigers and India, to contain asset bubbles underscore this fact.

● **Globalisation Brings Concerns** This decade witnessed rapid globalisation. A key feature was the rise of China and other Asian and Latin American economies as export powerhouses and the rise of the US

slowly fill the gap between the developed and developing countries' trade.

Another feature of globalisation was the rise of global finance. Access to foreign bank credit and capital markets financed consumer spending and investment in the emerging markets. Securitisation increased market liquidity and risk sharing. With the global crisis, however, banks in the developed countries scaled back cross-border lending, especially in Central and Eastern Europe. The crisis has strengthened the view that emerging markets should continue with "sequenced liberalisation," especially in the financial sector, and balance regulation with financial deepening.

The third aspect of globalisation was the